

ILLUSTRATIVE GENERIC IFRS FOR SMES FINANCIAL STATEMENTS

KENYA SME LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31ST DECEMBER 2020

Note 1: *This document provides an illustrative set of financial statements for a private company, not subject to the Small Companies Regime, prepared in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) (as amended in 2015) and the reporting requirements of the Kenyan Companies Act, 2015. The illustration is in respect of a company that was already complying with the IFRS for SMEs in the previous year.*

The IFRS for SMEs defines SMEs as entities that:

a) Do not have public accountability, and

b) Publish general purpose financial statements for external users,

and paragraph 1.5 of the standard states that if a publicly accountable entity uses the IFRS for SMEs, its financial statements shall not be described as conforming to the IFRS for SMEs.

These illustrative financial statements are intended as guidance for members of ICPAK. They are not an interpretation of the IFRS for SMEs and, where necessary, reference should be made to the standard. The presentation format is not the only acceptable form of presentation and other forms of presentation may be acceptable provided that they comply with the presentation and disclosure requirements of the IFRS for SMEs.

The Institute acknowledges the key contribution by RSM Eastern Africa LLP in preparing this document.

Note 2: *The following Sections of the IFRS for SMEs are not covered in these illustrative financial statements:*

- 9. Consolidated and separate financial statements*
- 12. Other financial instruments issues*
- 15. Investments in joint ventures*
- 19. Business combinations and goodwill*
- 24. Government grants*
- 26. Share-based payment*
- 31. Hyperinflation*
- 34. Specialised activities*

Note 3: *Each item in the illustrative financial statements is referenced (on the left) to the applicable presentation and disclosure requirements of the IFRS for SMEs and the Kenyan Companies Act, 2015. The following reference format has been used in this illustrative:*

9.26: refers to paragraph 9.26 of the IFRS for SMEs as amended in 2015

CAs653: refers to the reporting requirements in section 653 of the Kenyan Companies Act, 2015

BP: refers to best reporting practice adopted in Kenya

DV: disclosure voluntary

Note 4: *Text in bold italics within square brackets ([...]) represents guidance that does not form part of the Specimen Financial Statements.*

ADDITIONAL DISCLOSURES ARISING FROM THE IMPACT OF THE COVID-19 PANDEMIC

The global COVID-19 pandemic, will have had an impact on the financial performance of many companies in Kenya. The specimen financial statements are generic and cannot reflect the circumstances of an individual company, but they have highlighted the need to disclose the impact of the pandemic within the "Business Review" section of the Report of the Directors, and to identify the areas where significant judgements or assumptions have had to be made about the impact of the pandemic (Note 3). The following notes focus on additional disclosures that may need to be made on accounting issues arising from the pandemic.

1 Going concern

For some companies the impact of the pandemic may be so severe as to create doubt as to the ability of the company to continue as a going concern for at least 12 months from the reporting date. The financial statements should be prepared on a going concern basis unless management either intends to liquidate the entity or to cease trading, or has no realistic alternative but to do so. The directors will need to carry out an assessment to demonstrate whether the going concern assumption is appropriate. When the directors are aware, in making their assessment, of material uncertainties related to events or conditions that may cast significant doubt upon the company's ability to continue as a going concern, those uncertainties should be disclosed in the financial statements. When a company does not prepare financial statements on a going concern basis, it should disclose that fact, together with the basis on which it prepared the financial statements and the reason why the company is not regarded as a going concern.

2 Valuation and impairment of non-financial assets

For assets measured at fair value, such as investment property or biological assets, key assumptions may need to be made about the ongoing impact of the pandemic after the end of the reporting period. Such assumptions should be disclosed in the financial statements. For assets measured at amortised cost, which could include property, plant and equipment, intangible assets and goodwill, the pandemic may have created indicators of impairment, in which case impairment testing will need to be carried out. The cash flow projections required for such testing are likely to involve significant judgements and key assumptions, which again should be adequately disclosed in the financial statements.

3 Impairment of financial assets measured at cost or amortised cost

The IFRS for SMEs requires companies to assess, at the end of each reporting period, whether there is objective evidence of impairment of financial assets measured at cost or amortised cost. If there is evidence of impairment, the company should recognise an impairment loss in profit or loss immediately. Factors to be considered when assessing whether there is evidence of impairment include significant changes with an adverse effect that have taken place in the economic environment in which the company operates. Measurement of impairment losses involves estimation of the future cash flows from the impaired assets, and this may require key assumptions to be made about the ongoing impact of the pandemic after the end of the reporting period.

Kenya SME Limited
Annual report and financial statements
For the year ended 31st December 2020

CONTENTS

PAGE

Company information	1
Report of the directors	2
Statement of directors' responsibilities	3
Report of the independent auditor	4 - 5
Financial statements:	
3.17(b) Profit and loss account*	6
3.17(a) Balance sheet*	7
3.17(c) Statement of changes in equity	8
3.17(d) Statement of cash flows	9
3.17(e) Notes	10 - 23

Supplementary information:

[If supplementary information, such as a detailed schedule of operating expenditure, is to be included, it should be made clear that it does not form part of the audited financial statements.]

Alternative presentation:

Statement of income and retained earnings	Appendix I
---	------------

**[In these illustrative financial statements, the titles required by the Kenyan Companies Act, 2015 have been used.]*

Kenya SME Limited
Company information
For the year ended 31st December 2020

CAs654(1) **Board of directors**
.....
.....
.....
.....

BP **Company secretary**
.....
.....

Registered office L.R. No.
...th Floor, Building
..... Street/Road
P.O. Box
Nairobi,
Kenya.

Independent auditor
Certified Public Accountants
.....
.....
P.O. Box
.....
Kenya.

BP **Principal bankers**
.....

BP **Legal advisers**
.....

Kenya SME Limited
Report of the directors
For the year ended 31st December 2020

CAs653 The directors submit their report together with the audited financial statements for the year ended 31st December 2020.

Directorate

CAs654(1) The directors who held office during the year and to the date of this report are set out on page 1.

Principal activities

CAs654(1) The principal activities of the Company are

Recommended dividend

CAs654(3) The directors recommend the approval of a final dividend of KSh (2019: KSh).

[Or]

The directors do not recommend the declaration of a dividend for the year.

Business review

CAs655(3) *[This section shall include: (a) a fair review of the company's business; and (b) a description of the principal risks and uncertainties facing the company. It should be a balanced and comprehensive analysis of the development and performance of the business of the company during the company's financial year and the financial position of the company at the end of the year, consistent with the size and complexity of the business.]*

CAs655(6) *[The review should include (to the extent necessary for an understanding of the development, performance or position of the company's business): (a) an analysis using financial key performance indicators; (b) if appropriate, an analysis using other key performance indicators (including information relating to environmental matters and employee matters); and (c) references to, and additional explanations of, amounts included in the company's annual financial statements.]*

[For 2020, this section should include, if relevant, a review of the impact of the Covid-19 pandemic on the results for the period.]

Statement as to disclosure to the Company's auditor

CAs657(2) With respect to each director at the time this report was approved:
(a) there is, so far as the director is aware, no relevant audit information of which the Company's auditor is unaware; and
(b) the director has taken all the steps that the director ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

CAs725 **Terms of appointment of the auditor**

[Name of audit firm] continues in office in accordance with the company's Articles of Association and Section 719 of the Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees. The agreed auditor's remuneration of KSh xxx has been charged to profit or loss in the year. *[Regulations in respect of this disclosure are yet to be issued by the Cabinet Secretary.]*

By order of the board

.....
CAs658(1) **Director/Company Secretary**

Nairobi 2021

Kenya SME Limited
Statement of directors' responsibilities
For the year ended 31st December 2020

CAs635
 CAs628

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Company as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the Company keeps proper accounting records that: (a) show and explain the transactions of the Company; (b) disclose, with reasonable accuracy, the financial position of the Company; and (c) enable the directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii) selecting suitable accounting policies and applying them consistently; and
- iii making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 2021 and signed on its behalf by:

.....
Director

Kenya SME Limited**Report of the independent auditor to the members of Kenya SME Limited
For the year ended 31st December 2020**

Opinion

We have audited the accompanying financial statements of Kenya SME Limited (the Company), set out on pages 6 to 23, which comprise the balance sheet as at 31st December 2020, the profit and loss account and statements of changes in equity and cash flows for the year then ended, and notes, including a summary of significant accounting policies.

CAs727

In our opinion the accompanying financial statements give a true and fair view of the financial position of the Company as at 31st December 2020 and of its financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

ISA 720

The directors are responsible for the other information. Other information comprises the information included in the Annual Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015, as set out below.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements that give a true and fair view in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Kenya SME Limited**Report of the independent auditor to the members of Kenya SME Limited
For the year ended 31st December 2020**

Auditor's responsibilities for the audit of the financial statements (continued)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other matters prescribed by the Kenyan Companies Act, 2015

CA5728 In our opinion the information given in the report of the directors on page 2 is consistent with the financial statements.

CA5730(2) ***[If, in reporting on the financial statements the auditor forms the opinion:
a) That the Company has not kept adequate accounting records; or
b) The Company's financial statements are not in agreement with the Company's accounting records;
the auditor shall state that opinion in this section of the report.]***

[Signature of the firm]

CA5735 ***[Name of firm]***
Certified Public Accountants
Nairobi

..... 2021

ICPAK CA5735 The signing partner responsible for the independent audit was ***[F]*** CPA ***[name of partner]***, Practising Certificate No.

[Note: The auditor's report should be signed in the name of the audit firm. The personal signature of the partner responsible for the report is not required.]

[Note: this illustration applies only to companies not required to include key audit matters in the auditor's report. It is illustrative of an 'unmodified' opinion given in accordance with ISA 700.]

3.23(a) **Kenya SME Limited**
3.23(b) **Financial statements**
3.23(c) **For the year ended 31st December 2020**

3.17(b)(i) **PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST DECEMBER 2020**

5.2(a)			2020 KSh'000	2019 KSh'000
3.23(d)		Note		
5.5(a)	Revenue	4		
5.9	Cost of sales		_____	_____
5.9	Gross profit			
5.9	Other income	5		
5.9	Selling and distribution expenses			
5.9	Administrative expenses			
5.9	Establishment expenses			
5.5(b)	Finance costs	6	_____	_____
5.9	Profit/(loss) before tax	7		
5.5(d)	Tax (expense)/income	8	_____	_____
3.19	Profit/(loss) for the year		=====	=====

5.11 *[Note 1: The format illustrated above aggregates expenses according to their function (cost of sales, distribution, administrative etc.). Alternatively, expenses may be aggregated according to their nature (raw materials and consumables, employee salaries and other benefits, depreciation and amortisation, impairment, etc.).]*

5.4(b) *[Note 2: The format illustrated is appropriate only for entities with no 'other comprehensive income'. The IFRS for SMEs requires only four types of 'other comprehensive income':*

- *some gains or losses arising on translating the financial statements of foreign operations*
- *some actuarial gains and losses*
- *some changes in fair values of hedging instruments*
- *changes in the revaluation surplus for property, plant and equipment.*

If any of the above are applicable, the entity should present either a single 'statement of comprehensive income' or an 'income statement' and a 'statement of comprehensive income'.]

4.1 **BALANCE SHEET AT 31ST DECEMBER 2020**

		Note	2020 KSh'000	2019 KSh'000
	EQUITY			
4.11(f)	Share capital	9		
4.3, CA	Share premium	9		
4.11(f)	Retained earnings			
4.2(r)	Total equity			
4.4	Non-current liabilities			
4.2(m)	Borrowings	11		
4.2(p)	Post-employment benefit obligation	12		
	Total non-current liabilities			
	REPRESENTED BY			
4.4	Non-current assets			
4.2(e)	Property, plant and equipment	13		
4.2(ea)	Investment property at cost less depreciation and impairment	14		
4.2(g)	Intangible assets	15		
4.2(j)	Investment in associate	16		
4.2(c)	Investment in quoted shares	17		
4.2(o)	Deferred tax asset	18		
4.4	Current assets			
4.2(d)	Inventories	19		
4.2(b)	Trade and other receivables	20		
4.2(n)	Current tax recoverable			
4.2(a)	Cash at bank and in hand			
4.4	Current liabilities			
4.2(l)	Trade and other payables	21		
4.2(n)	Current tax payable			
4.2(p)	Provision for warranty obligations	22		
4.2(a)	Borrowings	11		
4.2(p)	Current portion of post-employment benefit obligation	12		
4.3	Net current assets/(liabilities)			

32.9 The financial statements on pages 6 to 23 were approved for issue by the board of directors on
CA652 2021 and were signed on their behalf by:

.....
CA652(1) **Director**

3.23(a) **Kenya SME Limited**
3.23(b) **Financial statements**
3.23(c) **For the year ended 31st December 2020**

6.3 **STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31ST DECEMBER 2020**

	Note	Share capital KSh'000	Share premium KSh'000	Retained earnings KSh'000	Total KSh'000
At 1st January 2019					
6.3(c)(i) Profit/(loss) for the year					
6.3(c)(iii) Dividends:	10				
- Final for 2018					
- Interim for 2019					
At 31st December 2019					
At 1st January 2020					
6.3(c)(i) Profit/(loss) for the year					
6.3(c)(iii) Shares issued for cash	9				
6.3(c)(iii) Dividends:	10				
- Final for 2019					
- Interim for 2020					
At 31st December 2020					

3.18 **[Note: if the only changes to equity during the periods presented arise from profit or loss, payment of dividends, corrections of prior period errors, and changes in accounting policies, an entity may present a single statement of comprehensive income and retained earnings instead of separate statements of comprehensive income and changes in equity (see Appendix I).]**

7.3 **STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31ST DECEMBER 2020**

3.17(d)

	Note	2020 KSh'000	2019 KSh'000
7.1 Cash flows from operating activities			
7.7(a) Profit for the year			
7.8(b) Adjustments for:			
Tax expense			
Depreciation of property, plant and equipment	13		
Impairment of property, plant and equipment	13		
Depreciation of investment property	14		
Amortisation of intangible assets	15		
Fair value (gain)/loss on quoted shares	17		
7.13 Unrealised exchange (gain)/loss			
Provision for post-employment benefit obligations	12		
Gain on sale of property, plant and equipment			
Dividend income	5		
Interest expense	6		
7.8(a) Changes in operating assets and liabilities:			
Decrease/(increase) in trade and other receivables			
Decrease/(increase) in inventories			
Increase/(decrease) in trade payables			
<i>Cash generated from operations</i>			
7.15 Interest paid			
7.17 Income tax paid			
7.3 Net cash from operating activities			
7.1 Cash flows from investing activities			
7.5(c) Purchase of quoted shares	17		
7.15 Dividends received on quoted shares			
7.15 Dividend received from associate			
7.5(b) Proceeds from sale of property, plant and equipment			
7.5(a) Purchases of property, plant and equipment	13		
7.3 Net cash used in investing activities			
7.1 Cash flows from financing activities			
7.6(e) Payment of finance lease liabilities	11		
7.6(d) Repayment of borrowings			
7.16 Dividends paid			
7.3 Net cash used in financing activities			
Net increase (decrease) in cash and cash equivalents			
Cash and cash equivalents at start of year			
Cash and cash equivalents at end of year	23		

3.17(e) **NOTES**

1. General information

3.24(a) Kenya SME Limited (the Company) is domiciled in Kenya where it is incorporated under the Kenyan
3.24(b) Companies Act, 2015 as a private company limited by shares. The address of its registered office and principal place of business is The principal activities of the Company are

8.5 **2. Basis of preparation and summary of significant accounting policies**

3.3 These financial statements have been prepared on a going concern basis and in compliance with the
3.23(d) International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) issued
3.23(e) by the International Accounting Standards Board. The financial statements are presented in Kenyan
8.5(a) Shillings (KSh), rounded to the nearest thousand. The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

23.30(a) **Revenue recognition**

23.4 Revenue from sales of goods is recognised when the goods are delivered and title has passed. Revenue
23.10 from sale of services is recognised by reference to the stage of completion of the transaction at the end of
23.14 the reporting period. Revenue is measured at the fair value of the consideration received or receivable, net of discounts and sales-related taxes collected on behalf of the government of Kenya.

20.25 Rental income from investment properties is recognised on a straight-line basis over the respective lease term and is included in 'other income'.

23.29(c) Dividend income from investments, including associates, is recognised in the period in which the right to receive payment has been established, and is included in 'other income'.

Borrowing costs

25.2 All borrowing costs are recognised in profit or loss in the period in which they are incurred.

Income tax

Glossary Tax expense represents the aggregate amount included in profit or loss for the period in respect of current tax and deferred tax.

Glossary Current tax is the amount of income tax payable or refundable in respect of the taxable profit or loss for the current and prior periods, determined in accordance with the Kenyan Income Tax Act.

29.8 Deferred tax is determined on differences arising between the carrying amounts of assets and liabilities in
29.27 the financial statements and their corresponding tax bases (known as temporary differences), using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

29.29 The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from
29.30 the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

29.16 Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

29.16 Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be
29.23 available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

NOTES (CONTINUED)

2. Basis of preparation and summary of significant accounting policies (continued)

Translation of foreign currencies

30.9 All transactions in foreign currencies are initially recorded in Kenyan Shillings, using the spot rate at the
30.10 date of the transaction. Foreign currency monetary items at the reporting date are translated using the closing rate. All exchange differences arising on settlement or translation are recognised in profit or loss.

Share capital, share premium, and dividends

22.10 Ordinary shares are recognised at par value and classified as 'share capital' in equity. Any amounts received
32.8 from the issue of shares in excess of the par value is classified as 'share premium' in equity. Dividends are recognised as a liability in the year in which they are declared.

14.12(a) *Investments in associates*

14.2 14.5 An associate is an entity that is not a subsidiary, over which the Company has significant influence. Investments in associates are accounted for at cost less any accumulated impairment losses.

Financial assets

11.13 Trade and other receivables are initially recognised at the transaction price. Most sales are made on the
11.14 basis of normal credit terms, and the receivables do not bear interest. Where credit is extended beyond
11.21 normal credit terms, receivables are measured at amortised cost using the effective interest method. Debt instruments such as Treasury bills or corporate bonds are initially recognised at the transaction price including transaction costs, and subsequently measured at amortised cost using the effective interest

11.14(c) Investments in quoted shares are initially recognised at the transaction price and subsequently measured at fair value with changes in fair value being recognised in profit or loss. Fair value is determined using the quoted bid price at the reporting date.

At the end of each reporting period, the carrying amounts of trade and other receivables are reviewed to determine whether there is any objective evidence that the amounts are not recoverable. If so, an impairment loss is recognised immediately in profit or loss.

Property, plant and equipment

17.31(a) Items of property, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

17.31(b) Freehold land is not depreciated. For all other assets, depreciation is charged so as to allocate the cost of the assets less their residual values over their estimated useful lives, using the straight-line method.

17.23 If there is an indication that there has been a significant change in the useful life or residual value of an asset, the depreciation of that asset is revised prospectively to reflect the new expectations.

17.30 On disposal, the difference between the net disposal proceeds and the carrying amount of the item sold is
17.28 recognised in profit or loss.

Investment property

16.2 Property held to earn rentals or for capital appreciation or both is classified as investment property.
16.7 Investment property whose fair value cannot be measured reliably without undue cost or effort is measured at cost less accumulated depreciation and any accumulated impairment losses.

NOTES (CONTINUED)

2. Basis of preparation and summary of significant accounting policies (continued)

Investment property (continued)

16.1 Depreciation is charged so as to allocate the cost of the property less its residual value over its estimated useful life, using the straight-line method.

16.7 *** [This illustrates investment property being accounted for using the cost model. Investment property whose fair value can be measured reliably without undue cost or effort must be measured at fair value at each reporting date.]**

Intangible assets

18.27 (a) & (b) Intangible assets comprise purchased computer software and are stated at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated using the straight-line method to write down the cost of each item of software to its residual value over its estimated useful life. If there is an indication that there has been a significant change in amortisation rate, useful life or residual value of an intangible asset, the amortisation is revised prospectively to reflect the new expectations.

Leases

20.4 Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the leased asset to the Company. All other leases are classified as operating leases.

20.9 20.11 20.12 Rights to assets held under finance leases are recognised as assets of the Company at the fair value of the leased property (or, if lower, the present value of minimum lease payments) at the inception of the lease. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are deducted in measuring profit or loss. Assets held under finance leases are included in property, plant and equipment, and depreciated and assessed for impairment losses in the same way as owned assets.

20.15 Rentals payable under operating leases are charged to profit or loss on a straight-line basis over the term of the relevant lease.

13.22(a) *Inventories*

13.4 13.5 Inventories are stated at the lower of cost and selling price less costs to complete and sell. Cost is calculated using the first-in, first-out (FIFO) method.

Impairment of non-financial assets

27.7 27.6 At each reporting date, property, plant and equipment, investment property, intangible assets, and investments in associates are reviewed to determine whether there is any indication that those assets have suffered an impairment loss. If there is an indication of possible impairment, the recoverable amount of any affected asset (or group of related assets) is estimated and compared with its carrying amount. If the estimated recoverable amount is lower, the carrying amount is reduced to its estimated recoverable amount, and an impairment loss is recognised immediately in profit or loss.

27.2 Similarly, at each reporting date, inventories are assessed for impairment by comparing the carrying amount of each item of inventory (or group of similar items) with its selling price less costs to complete and sell. If an item of inventory (or group of similar items) is impaired, its carrying amount is reduced to selling price less costs to complete and sell, and an impairment loss is recognised immediately in profit or loss.

27.29 If an impairment loss subsequently reverses, the carrying amount of the asset (or group of related assets) is increased to the revised estimate of its recoverable amount (selling price less costs to complete and sell, in the case of inventories), but not in excess of the amount that would have been determined had no impairment loss been recognised for the asset (group of related assets) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss.

NOTES (CONTINUED)

2. Basis of preparation and summary of significant accounting policies (continued)

Financial liabilities

11.13 11.14 Financial liabilities are initially recognised at the transaction price (less transaction costs). Trade payables are obligations on the basis of normal credit terms and do not bear interest. Interest bearing liabilities are subsequently measured at amortised cost using the effective interest method.

Employee benefits - post-employment benefit obligations

28.19 The liability for post-employment benefit obligations relates to terminal gratuities. All full-time staff, excluding
28.41(a) directors, are covered by the programme. Employees who resign or retire after completing at least years of service are entitled to days pay for each completed year of service. The Company does not fund this obligation in advance.

28.41(c) The Company's obligations, both vested and unvested, to pay terminal gratuities to employees are recognised
28.24 based on employees' service up to the reporting date and their salaries at that date. The net change in the obligation is recognised in profit or loss.

The Company and the employees also contribute to the National Social Security Fund (NSSF), a national defined contribution scheme. Contributions are determined by local statute and the Company's contributions are charged to profit or loss in the year to which they relate.

Provision for warranty obligations

All goods sold by the Company are warranted to be free of manufacturing defects for a period of one year. Goods are repaired or replaced at the Company's option. When revenue is recognised, a provision is made for the estimated cost of the warranty obligation.

3. Judgements and key sources of estimation uncertainty

8.6 No significant judgements have had to be made by the directors in preparing these financial statements.*

8.7 The directors have, however, had to make key assumptions regarding the recoverable amount of impaired trade receivables. The recoverable amount of such receivables at the end of the reporting period has been estimated at KSh*

8.7 Estimates made in determining the warranty provision are based on past experience and may change based on the actual cost of fulfilling the warranties.*

***[This is illustrative and must be tailored to reflect the significant judgements made by the directors and the key sources of estimation uncertainty.]**

[This note may need to include significant judgements and sources of estimation uncertainties relating to the impact of the Covid-19 pandemic.]

23.30(b)	4. Revenue	2020 KSh'000	2019 KSh'000
	Sale of goods		
	Sale of services		
		=====	=====

NOTES (CONTINUED)

		2020 KSh'000	2019 KSh'000
	5. Other income		
	Rental income from investment property		
11.48(a)(i)	Dividends received from investments in quoted shares		
14.13	Dividend received from associate		
11.48(a)(i)	Fair value gain - quoted shares		
	Gain on disposal of property, plant and equipment		
11.48(b)	6. Finance costs		
11.48(a)(iv)	Interest on bank loan and overdraft		
	Interest on finance leases		
	Exchange loss/(gain) on foreign currency borrowings*		
25.1(c)	* [Such exchange losses/gains should be classified as finance costs only if they relate to borrowing and can be regarded as an adjustment to interest costs.]		
	7. Profit before tax		
	(a) The following items have been recognised as expenses (income) in determining profit before tax:		
13.22(c)	Cost of inventories recognised as expense		
	Employee benefits expense (see 7(b) below)		
	Depreciation of property, plant and equipment		
27.33(b)	Impairment loss on property, plant and equipment (included in cost of sales)		
	Depreciation of investment property		
11.48(c)	Impairment loss on trade receivables		
20.16(b)	Operating lease rentals		
30.25(a)	Foreign exchange loss on trade payables (included in cost of sales)		
	(b) Employee benefits expense [include executive directors]		
	Wages, salaries and allowances		
	Retirement benefit costs:		
28.41(g)(i)	- Net increase in provision for post-employment benefit obligation		
28.40	- Defined contribution scheme		
28.40	- National Social Security Fund		
CA5649	The average number of persons employed during the year, by category, were:		
		Number	Number
	Production		
	Sales and distribution		
	Management and administration		
	Total		
CA5649(2)	[The categories are to be determined by management, having regard to the manner in which the Company's activities are organised.]		

NOTES (CONTINUED)

		2020 KSh'000	2019 KSh'000
8. Tax expense			
29.39(a)	Current tax		
29.39(b)	Under-provision in prior year		
29.39(c)	Deferred tax expense/(income) relating to the origination and reversal of temporary differences (Note 18)		
29.39(d)	Deferred tax expense/(income) relating to change in tax rate (Note 18)		
29.39(g)	Write down/(reversal of a write down) of a deferred tax asset		
	Tax expense/(credit)		
29.40(c)	The tax expense for the year differs from the theoretical amount that would result from applying the statutory tax rate of 25% (2019: 30%) to profit before tax as follows:.		
	Profit/(loss) before tax		
	Tax calculated at the statutory rate of 25% (2019: 30%)		
	Tax effect of:		
	Income not subject to tax		
	Expenses not deductible for tax purposes		
	Effect of change in statutory tax rate on deferred tax		
	Under-provision in prior year		
	Change in deferred tax asset not recognised		
	Tax expense/(credit)		
29.40(d)	The statutory tax rate was reduced from 30% to 25% for the year of income 2020 by the Tax Laws (Amendment) Act, 2020. The Tax Laws (Amendment) (No.2) Act, 2020 increased the rate back to 30%		
4.12(a)	9. Share capital	No. of ordinary shares issued	Issued and fully paid up capital KSh'000
			Share premium KSh'000
4.12(a)(iv)	At 1st January 2019 and 31st December 2019		
	Issued for cash in 2020		
	At 31st December 2020		
4.12(a)(i) 4.2(a)(iii)	The total number of authorised ordinary shares is (2019:) with a par value of KSh each.		
4.12(a)(iii)	On, the issued and paid up capital was increased from KSh to KSh by an issue for cash of ordinary shares at a price of KSh per share.		
4.12(b)	The share premium account, which represents the excess of the price paid for shares over the par value, is not distributable.		
	10. Dividends		
DV	During the year, an interim dividend of KSh per share amounting to KSh (2019: KSh per share amounting to KSh) was paid. The total amount of dividend paid and proposed per share for the year is KSh (2019: KSh) amounting to KSh (2019: KSh). At the forthcoming annual general meeting, a final dividend in respect of the year ended 31st December 2020 of KSh per share amounting to KSh (2019: KSh per share amounting to KSh) is to be proposed.		

NOTES (CONTINUED)

11. Borrowings

		2020 KSh'000	2019 KSh'000
	Non-current		
11.42	Bank loan - fully repayable in 201_, repayable without penalty		
	Obligations under finance leases		
	Current		
	Bank overdraft		
	Bank loan		
	Obligations under finance leases		
	Total borrowings		
11.46	The bank overdraft and loan are secured by a floating lien over land and buildings owned by the Company with a carrying amount of KSh at 31st December 2020 (2019: KSh).		
11.42	The bank loan is denominated in US dollars.		
11.42	Interest is payable on the bank overdraft at 200 points above the London Interbank Borrowing Rate (LIBOR). Interest is payable on the seven-year bank loan at a fixed rate of 5 per cent of the principal amount.		
11.47	The Company defaulted in making payments of principal on the bank loan during the year. The amounts have been paid, together with penalty interest, subsequent to the year-end.		
	Obligations under finance leases		
20.13(c) 20.13(b)	The Company holds one piece of specialised machinery with an estimated useful life of eight years under a six-year finance lease. The future minimum lease payments are as follows:		
		2020 KSh'000	2019 KSh'000
	Not later than one year		
	Later than one year but not later than five years		
	Later than five years		
	Less: future finance costs inherent in the lease		
	Present value of minimum lease payments, as above		
7.6(e)	In the statement of cash flows, payments of finance lease liabilities represents:		
	Payments of principal		
	Payments of interest		

NOTES (CONTINUED)

12. Post-employment benefit obligation

28.41(e) The Company's obligation to pay terminal gratuities, based on employees' years of service and salaries at the balance sheet date is as follows:

		2020 KSh'000	2019* KSh'000
	At start of year		
28.41(g)	Additional provision made during the year, charged to profit or loss		
28.41(e)	Benefits paid during the year		
	At end of year		
	The obligation is classified as:		
	Current liability		
	Non-current liability		
	Total		

28.41 ***[Disclosure of comparative figures is voluntary.]**

	13. Property, plant and equipment	Land* and buildings KSh'000	Fixtures and equipment KSh'000	Total KSh'000
	Cost			
17.31(d)	At start of year			
17.31(e)(i)	Additions			
17.31(e)(ii)	Disposals			
17.31(d)	At end of year			
	Accumulated depreciation and impairment			
17.31(d)	At start of year			
17.31(e)(iv)	Annual depreciation			
17.31(e)(v)	Impairment			
17.31(e)(ii)	Less accumulated depreciation on assets disposed of			
17.31(d)	At end of year			
	Carrying amount			
	At end of year			

20.5 ***[Leasehold land that meets the criteria for classification as a finance lease, may be included in property, plant and equipment.]**

The following annual rates are used for the depreciation of property, plant and equipment:

17.31(c)	Buildings	2 per cent
	Fixtures and equipment	10-30 per cent

NOTES (CONTINUED)

13. Property, plant and equipment (continued)

17.24 During 2020, the Company noticed a significant decline in the efficiency of a major piece of equipment and so carried out a review of its recoverable amount. The review led to the recognition of an impairment loss of KSh

20.13(a) The carrying amount of the Company's fixtures and equipment includes an amount of KSh (2019: KSh) in respect of assets held under finance leases.

In the statement of cash flows, purchases of property, plant and equipment represent:

		2020 KSh'000	2019 KSh'000
7.19(a)	Additions, as above		
	Less: amounts financed through finance leases	_____	_____
		=====	=====

4.14 17.26 On 10th December 2020, the directors resolved to dispose of a machine. The machine's carrying amount of KSh is included in fixtures and equipment at 31st December 2020. Because the proceeds on disposal are expected to exceed the net carrying amount of the asset, no impairment loss has been recognised.

17.32(b) Contractual commitments for the acquisition of property, plant and equipment amounted to KSh at 31st December 2020 (2019: KSh).

14. Investment property carried at cost less accumulated depreciation	2020 KSh'000	2019 KSh'000
Cost		
At start of year		
Additions		
Disposals	_____	_____
At end of year	=====	=====
Accumulated depreciation and impairment		
At start of year		
Annual depreciation (included in establishment expenses*)	_____	_____
At end of year	=====	=====
Carrying amount		
At end of year	=====	=====

The annual depreciation rate used is x%.

NOTES (CONTINUED)

18.27	15. Intangible assets - software	2020 KSh'000	2019 KSh'000
	Cost		
18.27(c)	At start of year		
18.27(e)(i)	Additions		
18.27(e)(ii)	Disposals		
18.27(c)	At end of year		
	Accumulated amortisation and impairment		
18.27(c)	At start of year		
18.27(d)	Annual amortisation (included in establishment expenses*)		
18.27(c)	At end of year		
	Carrying amount		
	At end of year		
18.28	The intangible asset comprises two items of application software: general ledger, with a carrying amount of KSh and remaining amortisation period of 2 years; and payroll with a carrying amount of KSh and remaining amortisation period of 4 years.		
18.27(a)	The annual amortisation rate used is 20%.		
	* [If the entity classifies its expenses by nature in its income statement, this would say 'included in depreciation and amortisation expense'.]		

16. Investment in associate

DV The Company owns 35% of an associate, whose shares are not publicly traded.

DV	17. Investment in quoted shares	KSh'000	KSh'000
	At start of year		
	Purchase of shares		
	Fair value gain/(loss)		
	At end of year		

NOTES (CONTINUED)

18. Deferred tax

29.27 Deferred tax is calculated using the enacted rate of 30%, which is the enacted rate applying from 1st January 2021
29.40(c) (2019: 30%). However, the statutory tax rate for the year ended 31st December 2020 was 25% (see Note 8). The following are the deferred tax assets (liabilities) recognised by the Company:

	At start of year KSh'000	Effect of change in tax rate KSh'000	Credited /(charged) to profit or loss KSh'000	At end of year KSh'000
Year ended 31st December 2020				
Deferred tax asset				
Post-employment benefit obligation				
Unrealised exchange loss				
Tax losses carried forward				
Deferred tax liability				
Property, plant and equipment				
Net deferred tax asset				
29.40(f) Deferred tax asset not recognised				
Net deferred tax asset recognised				
Year ended 31st December 2019				
Deferred tax asset				
Post-employment benefit obligation				
Unrealised exchange loss				
Tax losses carried forward				
Deferred tax liability				
Property, plant and equipment				
Net deferred tax asset				
Deferred tax asset not recognised				
Net deferred tax asset recognised				

29.37 The deferred tax assets and liabilities relate to income tax in the same jurisdiction, and the law allows net settlement. Therefore, they have been offset in the balance sheet.

Under the Kenyan Income Tax Act, tax losses are allowable as a deduction only in the nine years succeeding the year in which they occurred. The tax losses of KSh carried forward will expire as follows:

Arising in:	Tax losses KSh'000	Expiring:
2018		31st December 2027
2019		31st December 2028
Tax losses carried forward		

NOTES (CONTINUED)

18. Deferred tax (continued)

29.40(g) If the whole of the retained earnings as at the reporting date were to be distributed, a further KSh (2019:
29.33 KSh) of tax would be payable. This liability has not been recognised.

		2020 KSh'000	2019 KSh'000
4.11(c)	19. Inventories		
13.22(b)			
4.11(c)(iii)	Raw materials		
4.11(c)(ii)	Work in progress		
4.11(c)(i)	Finished goods		

4.11(b) **20. Trade and other receivables**

Trade receivables, net of provision for impairment
Amounts due from related parties (Note 25(iii))
Value Added Tax recoverable
Prepayments

4.11(d) **21. Trade and other payables**

Trade payables
Amounts due to related parties (Note 25(iii))
Accrued expenses

11.42 Trade payables at 31st December 2020 include KSh denominated in foreign currencies (2019: nil).

21.14	22. Provision for warranty obligations	2020 KSh'000	2019* KSh'000
-------	---	-------------------------------	--------------------------------

Changes in the provision for warranty obligations during 2020 were:

21.14(a)(i)	At start of year		
21.14(a)(ii)	Additional accrual during the year		
21.14(a)(iii)	Cost of warranty repairs and replacement during the year		
21.14(a)(i)	At end of year		

The obligation is classified as a current liability because the warranty is limited to twelve months.

*** [Voluntary disclosure of comparative figures.]**

7.2	23. Cash and cash equivalents	2020 KSh'000	2019 KSh'000
7.20			
	Cash at bank and in hand		
	Less: bank overdraft		

NOTES (CONTINUED)

24. Commitments under operating leases

20.16 (c) The Company rents several sales offices under operating leases. The leases are for an average period of three years, with fixed rentals over the same period.

20.16 (a) At year-end, the Company has outstanding commitments for minimum lease payments under non-cancellable operating leases that fall due as follows:

	2020 KSh'000	2019 KSh'000
Within one year		
Later than one year but within five years		
Later than five years		

25. Related party transactions

33.5 The Company's parent, which is also its ultimate controlling party, is Limited. Limited does not
33.9 produce financial statements available for public use. The Company sells goods and services to, and buys goods and services from, its associate and other companies that are related to it through common shareholding or common directorships, as follows:

i) Purchase of goods and services

	2020 KSh'000	2019 KSh'000
33.10(a) - Parent		
33.10(b) - Associate		
33.10(d) - Other related parties		

ii) Sale of goods and services

33.10(a) - Parent		
33.10(b) - Associate		
33.10(d) - Other related parties		

iii) Outstanding balances arising from sale and purchase of goods/services

Amounts due from related parties (Note 20)		
33.10(a) - Parent		
33.10(b) - Associate		
33.10(d) - Other related parties		
Amounts due to related parties (Note 21)		
33.10(a) - Parent		
33.10(b) - Associate		
33.10(d) - Other related parties		

33.9(c) There are no impairment provisions held against any related party balances.

33.9(b)(ii) The payments under the finance lease (see Note 11) are personally guaranteed by a principal shareholder of the Company. No charge has been requested for this guarantee.

NOTES (CONTINUED)

		2020	2019
	25. Related party transactions (continued)	KSh'000	KSh'000
33.7	iv) Key management personnel (including directors) compensation		
CA - 650	v) Directors' benefits and other remuneration		
	- salaries		
	- fees		
CA - 650(2)	- gains made by directors on the exercise of share options		
CA - 650(2)	- benefits received or receivable under long-term incentive schemes		
CA - 650(2)	- payments for loss of office		
CA - 650(2)	- benefits receivable, and contributions for the purpose of		
CA - 650(2)	- consideration paid to, or receivable by, third parties for making		
CA - 651(1)	vi) Directors' advances and credits		
	At 1st January		
	Advances and credits granted during the year		
	Interest charged/(paid)		
	Amounts re-paid		
	At 31st December		
	The advances to directors are unsecured and bear interest at 10% per annum. They are all repayable within 2 years of the reporting date.		
CA - 651(1)	vii) Guarantees entered into by the Company on behalf of the directors		
CA - 651(4)	<i>[Describe the nature and terms of any such guarantees, including the maximum liability that may be incurred and any amount paid or liability incurred by the Company for the purpose of fulfilling the guarantee.]</i>		

21.15 **26. Contingent liabilities**

During 2020, a customer initiated proceedings against Kenya SME Limited for a fire allegedly caused by a faulty product supplied by the Company. The customer asserts that its total losses are KSh and has initiated litigation claiming this amount.

The Company's legal counsel do not consider that the claim has merit, and the Company intends to contest it. No provision has been recognised in these financial statements as the directors do not consider it probable that a loss will arise.

32.10 **27. Events after the end of the reporting period**

On 2021, there was a flood in one of the Company's warehouses. The cost of refurbishment is expected to be KSh The reimbursements from insurance are estimated to be KSh

3.23(a) **Kenya SME Limited**
3.23(b) **Financial statements**
3.23(c) **For the year ended 31st December 2020**

3.18 **STATEMENT OF INCOME AND RETAINED EARNINGS***

5.2(a)			2020 KSh'000	2019 KSh'000
3.23(d)		Note		
5.5(a)	Revenue	4		
5.9	Cost of sales		_____	_____
5.9	Gross profit			
5.9	Other income	5		
5.9	Selling and distribution expenses			
5.9	Administrative expenses			
5.9	Establishment expenses			
5.5(b)	Finance costs	6	_____	_____
5.9	Profit/(loss) before tax	7		
5.5(d)	Tax (expense)/income	8	_____	_____
3.19	Profit/(loss) for the year			
6.5(a)	Retained earnings at start of year			
6.5(b)	Dividends paid	10	_____	_____
6.5(e)	Retained earnings at end of year		=====	=====

[Note: in this illustration there are no changes in share capital.]

*** [Paragraph 3.18 allows presentation of a single 'statement of income and retained earnings' in place of the profit and loss account and 'statement of changes in equity' if the only changes in equity during the periods for which the financial statements are presented arise from profit or loss, payment of dividends, corrections of prior period errors, and changes in accounting policy.]**